Ross Energy - Form 10-K Extract (Fiscal 2023)

Item 1. Business

Ross Energy is a energy company operating through three reportable segments: Upstream,

Refining and Renewables. Our principal executive offices are located in Columbus, Ohio. As of the end of fiscal 2023, we employed approximately 56,778 people worldwide. We sell to customers in more

than 57 countries and our strategy emphasises disciplined capital

allocation, operational excellence and organic growth.

Item 1A. Risk Factors

- Climate-related regulation and physical risks may increase our operating costs. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter. The occurrence of any of these events could have a material adverse effect on our business, financial condition and results of operations.

- A downturn in global economic conditions could reduce demand for our products. The occurrence of any of these events could have a material adverse effect on our business, financial condition and results of operations. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances.

- Cybersecurity incidents could result in the loss of confidential data, regulatory penalties and reputational harm. Insurance coverage may not be sufficient to cover all losses arising from these risks. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter.

- Acquisitions may not deliver the expected synergies and could divert management attention. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances.

- Changes in interest rates could adversely affect our net interest margin and the fair value of our fixed-income investment portfolio. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter.

- Supply-chain disruptions may delay product shipments and increase input costs. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs. Insurance coverage may not be sufficient to cover all losses arising from these risks.

- Our indebtedness could limit our flexibility in planning for or reacting to changes in our business. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances.

Item 2. Properties

We own or lease manufacturing, distribution, research and office facilities in North America, Europe and Asia. We believe our facilities are suitable and adequate for our current needs and that additional space can be obtained on commercially reasonable terms if required.

Item 3. Legal Proceedings

From time to time we are party to litigation, claims and regulatory proceedings arising in the ordinary course of business. While the outcome of these matters is inherently uncertain, management does not currently expect them to have a material adverse effect on our consolidated financial position.

Item 7A. Quantitative and Qualitative Disclosures About Market Risk

We are exposed to market risks from changes in interest rates, foreign-currency exchange rates and commodity prices. We use derivative instruments, principally interest-rate swaps and foreign-currency forwards, to manage these exposures, and we do not enter into derivatives for speculative purposes. A hypothetical 100 basis point increase in interest rates would not have a material effect on our interest expense given the predominantly fixed-rate nature of our borrowings.

Item 7. Management's Discussion and Analysis

Total revenue for fiscal 2023 was $22,525 million, a decrease of 5.0 percent compared with the prior year. Operating margin was 10.3 percent and net income was $1,311 million. The Upstream segment was our largest, contributing $12,218 million of revenue.

Segment revenue:

- Upstream: $12,218 million
- Refining: $7,934 million
- Renewables: $2,373 million

Results reflected pricing actions partly offset by foreign-exchange headwinds.

Liquidity and Capital Resources

Long-term debt totalled $4,259 million, and cash and cash equivalents were $3,268 million. Capital expenditures were $1,600 million, primarily for capacity expansion and technology infrastructure. The Board declared total dividends of $1.20 per share and authorised a $182 million share repurchase programme. We believe existing cash, operating cash flow and our revolving credit facility will be sufficient to fund operations for at least the next twelve months.